

# Finance & Investment Analysis

## Task 3: Investment Portfolio Creation

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## Introduction

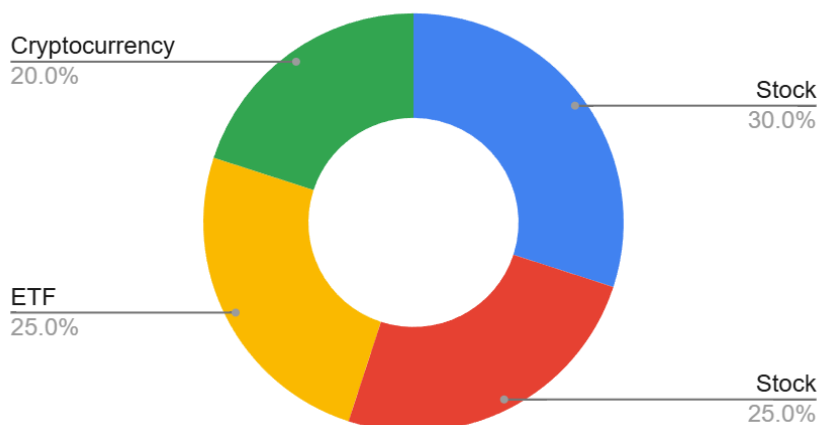
Investment portfolio creation is the process of selecting different types of assets and allocating money based on risk and return objectives. A diversified portfolio helps reduce risk by investing in multiple asset classes instead of depending on a single investment.

This project creates a hypothetical investment portfolio of **₹1,00,000** with allocation in stocks, ETFs, and cryptocurrency.

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## Portfolio Overview

### investment portfolio allocation



The total investment amount considered is:

**Total Portfolio Value: ₹1,00,000**

The portfolio allocation is:

| Investment Type | Asset Name       | Amount (₹) | Allocation (%) |
|-----------------|------------------|------------|----------------|
| Stock           | Infosys Ltd.     | 30,000     | 30%            |
| Stock           | Tata Motors Ltd. | 25,000     | 25%            |
| ETF             | SBI Nifty 50 ETF | 25,000     | 25%            |
| Cryptocurrency  | Bitcoin (BTC)    | 20,000     | 20%            |
| Total           |                  | 1,00,000   | 100%           |

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# Asset Selection Rationale

## Stocks (Infosys & Tata Motors)

Stocks are included to provide growth potential.

### Infosys Ltd.

- A leading IT company
- Benefits from digital transformation and technology demand
- Provides exposure to the IT sector

### Tata Motors Ltd.

- Major automobile company
- Exposure to automobile and electric vehicle growth
- Diversifies the portfolio into another industry

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## ETF (SBI Nifty 50 ETF)

ETF investment provides market-wide exposure.

Reasons for selection:

- Tracks Nifty 50 companies
- Reduces company-specific risk
- Suitable for long-term investment

# Cryptocurrency (Bitcoin)

Bitcoin is included as a high-risk, high-growth asset.

Reasons:

- Exposure to digital assets
  - Potential for long-term appreciation
  - Small allocation is maintained because of higher volatility
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# Risk Analysis

The portfolio contains different risk levels:

| Asset   | Risk Level         |
|---------|--------------------|
| Stocks  | Medium Risk        |
| ETF     | Low to Medium Risk |
| Bitcoin | High Risk          |

Diversification helps balance the risk. The ETF provides stability, while stocks and cryptocurrency provide growth opportunities.

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# Conclusion

This hypothetical portfolio follows a diversified investment approach by combining equity, ETF, and cryptocurrency assets. The allocation balances growth and risk by investing 80% in traditional financial assets and 20% in cryptocurrency. This strategy aims to achieve long-term growth while managing investment risk.